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SEBI/CFD/DIL/DIP/32/2008/28/08

August 28, 2008

To All Registered Merchant Bankers / Stock Exchanges

Dear Sirs,

Sub.: Amendments to SEBI (Disclosure and Investor Protection) Guidelines, 2000

1. In exercise of the powers conferred under sub-section (1) of Section 11 of the Securities and Exchange Board of India Act, 1992, it has been decided to amend the SEBI (Disclosure and Investor Protection) Guidelines, 2000 (hereinafter referred to as "the SEBI (DIP) Guidelines").
2. The full text of amendments is given in **Annexure I** and the amendments are given in brief as under:

(i) Reduction in timelines for rights issue

- (a) At present, timelines for listed companies making rights issues are stipulated in the SEBI (DIP) Guidelines and Equity Listing Agreement. It is understood that the current timelines expose investors and issuers to market risks.
- (b) In order to mitigate these risks and to enable listed companies to raise funds from its shareholders in a more time effective manner, it has been decided to reduce the current timelines, starting from the notice period required for calling a board meeting of the issuer to consider the rights

issue up to the period stipulated for completion of allotment and commencement of listing and trading of the shares so issued.

(ii) **Definition of “Qualified Institutional Buyers (QIBs)”**

- (a) Presently, foreign institutional investors (FIIs) registered with SEBI are included in the definition of QIBs. These FIIs invest in securities in the primary market, either on their account or on behalf of their sub-account(s), in terms of the SEBI (Foreign Institutional Investors) Regulations, 1995. It has been decided to exclude sub-accounts falling in the categories of “foreign corporate” and “foreign individual” from the definition of QIBs.
- (b) Further, it has been decided to include the definition of “QIB” in the definition clause of the SEBI (DIP) Guidelines, for the purpose of clarity.

(iii) **Eligibility for making Qualified Institutions Placement (QIP)**

- (a) Presently, the eligibility criteria for listed companies desirous of making QIP include a condition that the equity shares of the same class of such companies shall have been listed on a stock exchange having nationwide terminals, for a period of at least one year as on the date of issuance of notice to shareholders for considering the QIP.
- (b) It is noted that companies, which have been listed during the preceding one year pursuant to approved scheme(s) of merger/ demerger/ arrangement entered into by such companies with companies which have been listed for more than one year in such stock exchange(s), are not able to use the QIP route for raising funds. In order to enable such companies to raise funds through QIP route, it has been decided that for the purpose of fulfilment of the abovementioned eligibility criterion, such companies may take into account the listing history of the listed companies with which they have entered into the approved scheme(s) of merger/ demerger/ arrangement.

(iv) **Pricing norms for QIP**

In order to facilitate eligible listed companies to raise funds through QIP route, it has been decided to modify the pricing guidelines for QIP by bringing the issue price of the securities offered closer to their market price. This has been effected through change in the floor price formula and definition of relevant date

(v) **Pricing norms for preferential allotment to QIBs**

In order to facilitate eligible listed companies to raise funds from QIBs without having to go through the elaborate documentation process required for QIP, it has been decided to extend the modified pricing guidelines of QIP to preferential allotment to QIBs, provided that the number of QIB allottees in such preferential allotment does not exceed five.

(vi) **Lock-in on shares on exercise of warrants issued on preferential basis**

Presently, as per the guidelines on preferential allotment, warrants issued on preferential basis are subject to lock-in for a period of one year or three years, as the case may be and lock-in on shares allotted on exercise of such warrants is reduced to the extent such warrants have already been locked-in. It has been decided to subject the shares so allotted pursuant to exercise of warrants to full lock-in period of one year or three years, as the case may be, from the date of allotment of such shares.

(vii) **Eligibility of shares for promoters' contribution and offer for sale**

(a) Presently, the SEBI (DIP) Guidelines provide that only those shares, which are held by shareholders for a period of at least one year at the time of filing of draft offer document with SEBI, are eligible (i) to be offered for sale and (ii) to be included for the purpose of promoters' contribution (except in cases where the shares have been issued at the same issue price during the preceding one year).

- (b) It has been decided to permit offer for sale and inclusion in the promoters' contribution of those shares which have been acquired pursuant to a restructuring exercise approved by High Court(s), in lieu of business and invested capital which had been in existence for a period of more than one year prior to the restructuring exercise.

(viii) **Filing of offer documents at SEBI Regional Offices**

At present, draft offer documents of issue size up to Rs.20 crores can be filed by lead merchant bankers with such Regional Office of SEBI under the jurisdiction of which the registered office of the issuer company falls. It has been decided to increase this limit to Rs.50 crores.

(ix) **Miscellaneous amendments**

The SEBI (Issue and Listing of Debt Securities) Regulations, 2008 were notified on June 6, 2008 and are applicable to public issue of debt securities and listing of debt securities issued through public issue or on private placement basis on a recognised stock exchange. As per regulation 33(1) of these regulations, the provisions of the SEBI (DIP) Guidelines, in so far as these relate to issue and listing of debt securities, shall stand rescinded on the commencement of these regulations. Consequential amendments have accordingly been made in the SEBI (DIP) Guidelines.

3. Applicability

3.1 The amendments made vide this circular shall be applicable as under:

- (a) Amendments to clause 1.2.1(xxiva) shall be applicable after the date of this circular to :
 - (i) all notices for general meeting sent to shareholders for approval of the issue, in case of preferential allotment and QIP; and
 - (ii) all prospectuses (in case of a fixed price issue) and Red Herring Prospectuses (in case of a book built issue) filed with the Registrar of

Companies or letters of offer filed with Designated Stock Exchange, as the case may be.

- (b) Amendments to clauses 13.1.1.1, 13.1.1.2, 13.1.1.3, 13.3.1, 13A.1.1, clause 13A.3.1, and 13A.3.2.2 shall be applicable to all notices for general meeting sent to shareholders for approval of the preferential allotment or QIP, as the case may be; after the date of this circular.
 - (c) Amendments to clauses 4.6.2, 16.1.1 and 4.14.2(ii) shall be applicable to all draft offer documents filed with SEBI after the date of the circular;
 - (d) All amendments other than those specified in sub-paras (a) to (c) above shall come into force with immediate effect.
4. All registered merchant bankers are directed to ensure compliance with the applicable amendments made vide this circular.
5. This circular and the entire text of the SEBI (DIP) Guidelines, including the amendments issued vide this circular, are available on SEBI website at www.sebi.gov.in under the categories “Legal Framework” and “Issues and Listing”.

Yours faithfully,

Neelam Bhardwaj

Encl.: As above.

ANNEXURE I

CHAPTER I PRELIMINARY

1. In clause 1.2.1:-

- (a) after sub-clause (viii), the following sub-clause shall be inserted, namely:-

*“viii-a) **Convertible Debt Instrument**” means an instrument or security which creates or acknowledges indebtedness and is convertible into equity shares at a later date, at or without the option of the holder of the instrument or the security of a body corporate, whether constituting a charge on the assets of the body corporate or not;”*

- (b) sub-clause (xi) shall be omitted;

- (c) sub-clause (xxiva), sub-clause (xxiv aa) and sub-clause (xxiv b) shall be renumbered as sub-clause “(xxiv b)” , sub-clause “(xxiv c)” and sub-clause “(xxiv d)” respectively;

- (d) after sub-clause (xxiv), the following sub-clause shall be inserted, namely:-

*“xxiv a) **Qualified Institutional Buyer**” means*

- a) a public financial institution as defined in section 4A of the Companies Act, 1956;*
- b) a scheduled commercial bank;*
- c) a mutual fund registered with the Board;*

- d) *a foreign institutional investor and sub-account registered with SEBI, other than a sub-account which is a foreign corporate or foreign individual;*
- e) *a multilateral and bilateral development financial institution;*
- f) *a venture capital fund registered with SEBI;*
- g) *a foreign venture capital investor registered with SEBI;*
- h) *a state industrial development corporation;*
- i) *an insurance company registered with the Insurance Regulatory and Development Authority (IRDA);*
- j) *a provident fund with minimum corpus of Rs. 25 crores;*
- k) *a pension fund with minimum corpus of Rs. 25 crores);*
- l) *National Investment Fund set up by resolution no. F. No. 2/3/2005-DDII dated November 23, 2005 of Government of India published in the Gazette of India.”*

CHAPTER II

ELIGIBILITY NORMS FOR COMPANIES ISSUING SECURITIES

2. In clause 2.2.2B, sub-clause (v) shall be omitted.
3. In clause 2.5.1A, for the words and brackets “debt instruments (whether convertible or not)”, the words “*convertible debt instruments*” shall be substituted.
4. Clause 2.5.1B shall be omitted.

CHAPTER IV
PROMOTERS' CONTRIBUTION AND LOCK-IN REQUIREMENTS
PART I – PROMOTERS' CONTRIBUTION

5. In clause 4.6.2, after 3rd proviso and before Explanation to the clause, the following proviso shall be inserted, namely:-

“Provided further that nothing contained in clause 4.6.2 shall apply to shares acquired by promoters in lieu of business and invested capital which had been in existence for a period of more than one year prior to the restructuring scheme under sections 391-394 of the Companies Act, 1956, as approved by a High Court, which entitled the promoters to acquire such shares.”

6. In 4.14.2, in sub-clause (ii):-

- (a) after 1st proviso and before Explanation, the following proviso shall be inserted, namely:-

“Provided further that the minimum holding requirement of pre-issue capital shall also not apply to shares which have been acquired during one year preceding the date of filing draft offer document with the Board in lieu of business and invested capital which had been in existence for a period of more than one year prior to the restructuring scheme under sections 391-394 of the Companies Act, 1956, as approved by a High Court, which entitled acquisition of such shares.”

- (b) in the para below the heading “Explanation”, for the words “this proviso”, the words “1st proviso above” shall be inserted.

CHAPTER V

PRE- ISSUE OBLIGATIONS

7. In clause 5.11.1, for the words and figure “7 days”, the words and figures “3 days” shall be substituted.

CHAPTER VI

CONTENTS OF OFFER DOCUMENT

SECTION III - CONTENTS OF THE LETTER OF OFFER

8. In clause 6.41.8, for the words and figures “7 weeks”, the words and figures “15 days” shall be substituted.
9. In clause 6.41.10.1 –
 - (a) in sub-clause (i), for the words “forty two days”, the words “*fifteen days*” shall be substituted; and
 - (b) in sub-clause (ii), for the words “forty two days”, the words “*fifteen days*” shall be substituted.
10. In clause 6.41.10.2 –
 - (a) in sub-clause (i), for the words “forty two days”, the words “*fifteen days*” shall be substituted; and
 - (b) in sub-clause (ii), for the words “forty two days”, the words “*fifteen days*” shall be substituted.

CHAPTER VIII

OTHER ISSUE REQUIREMENTS

11. For clause 8.2, the following shall be substituted, namely:-

“8.2 Public issue and listing of Convertible Debt Instruments”

12. Clause 8.2.1 and clause 8.2.2 shall be omitted.

13. In clause 8.2.3, for the words “DSCE”, the words “*Convertible Debt Instruments*” shall be substituted.

14. In clause 8.2.3:-

(a) sub-clauses (b), (c) and (d) shall be renumbered as sub-clauses “(f)”, “(g)” and “(h)” respectively;

(b) for sub-clause (a), the following shall be substituted, namely:-

“a) a credit rating is obtained from at least one credit rating agency registered with the Board.”

(c) after sub-clause (a) and before the renumbered sub-clauses (f), (g) and (h), the following sub-clauses and proviso shall be inserted, namely:-

“b) A contribution of at least 20% of the project cost, i.e., objects proposed to be, inter alia, financed through the issue, shall be brought in the form of equity. Such equity participation may be brought by the promoter from his own funds or from other sources, subject to the condition that at least 20% of the issue size is brought by way of equity by the promoter from his own funds. If the project is to be

implemented in stages, the promoters' contribution as per these requirements shall be with respect to total equity participation till the respective stage vis-à-vis the debt raised or proposed to be raised through the issue."

- "c) The issuer company shall agree to comply with the requirements of continuing disclosures as specified under the listing agreement to be entered into with concerned stock exchanges as is applicable for listing of equity shares."*
- "d) The issuer company shall agree to obtain prior consent of the holders of the Convertible Debt Instruments, through special resolution to be passed at the general meeting of the Convertible Debt Instrument holders, for change in terms of issue, change in capital structure and change in shareholding pattern."*
- "e) There shall be no partly paid up shares/ other securities at the time of filing of draft offer document with the Board and also at time of filing Red Herring Prospectus and Prospectus with ROC."*

Provided that *in case of a public issue of securities by a listed company satisfying all the requirements specified in clause 2.1.2A, there shall be no partly paid up shares/ other securities at the time of filing Red Herring Prospectus and Prospectus with ROC."*

- (d) in the renumbered sub-clause (f) and its proviso, for the word "DSCE", wherever it appears, the words "*Convertible Debt Instruments*" shall be substituted;

- (e) in the renumbered sub-clause (g), for the word “DSCE”, the words “*Convertible Debt Instruments*” shall be substituted; and
- (f) in the renumbered sub-clause (h), for the word “DSCE”, wherever it appears, the words “*Convertible Debt Instruments*” shall be substituted.
- (c) In clause 8.2.5, for the words “NCDS/ DSCE”, the words “*Convertible Debt Instruments*” shall be substituted.
- (d) In clause 8.8.2.1, for the words and figures “30 days and not more than 60 days”, the words and figures “*15 days and not more than 30 days*” shall be substituted.

CHAPTER X

- 15. In Chapter X, for the Chapter heading “**GUIDELINES FOR ISSUE OF DEBT INSTRUMENTS**”, the following shall be substituted, namely:-

“GUIDELINES FOR ISSUE OF CONVERTIBLE DEBT INSTRUMENTS”

- 16. In clause 10.0, the mark and words “/ *Non Convertible*”, appearing after the words “company offering Convertible” and before the words “debt instruments”, shall be omitted.
- 17. In clause 10.1.1, for the words and parentheses “debt instruments (whether convertible or not)”, the words “*convertible debt instruments*” shall be substituted.

18. In clause 10.1.4, for the words and parentheses “debt instrument (including convertible instruments)”, the words “*convertible debt instrument*” shall be substituted.
19. In clause 10.7.1.1, the mark and words “/ **Non Convertible Debentures (NCDs)**,”, appearing after the words and brackets “**Partly Convertible Debentures (PCDs)**” and before the words “**by company not being in default**”, shall be omitted.
20. In clause 10.7.1.1A:-
 - (a) in the heading, the mark and words “/ **Non Convertible Debentures (NCDs)**,”, appearing after the words and parentheses “**Partly Convertible Debentures (PCDs)**” and before the words “**by company being in default**”, shall be omitted; and
 - (b) in the body, the words “*and the NCDs*”, appearing after the words “portions of PCDs” and before the words “issued by a listed company” shall be omitted.
21. In sub-clause (b) of clause 10.9, the word “PCDs/”, wherever it appears, shall be omitted.

CHAPTER XIII
GUIDELINES FOR PREFERENTIAL ISSUES

22. In clause 13.1.1.1, after the words “on preferential basis” and before the words “shall be made at”, the following shall be inserted, namely:-

“, other than an issue of shares on preferential basis to Qualified Institutional Buyers not exceeding five in number,”

23. In clause 13.1.1.2, after the words “on preferential basis” and before the words “can be made at”, the following shall be inserted, namely:-

“, other than an issue of shares on preferential basis to Qualified Institutional Buyers not exceeding five in number,”

24. After clause 13.1.1.2 and before Explanation, the following clause shall be inserted, namely:-

“13.1.1.3 An issue of shares on preferential basis to Qualified Institutional Buyers not exceeding five in number shall be made at a price not less than the average of the weekly high and low of the closing prices of the related shares quoted on a stock exchange during the two weeks preceding the relevant date.”

25. In the Explanation appearing after the newly inserted clause 13.1.1.3:-
- (a) in Explanation (a), for the words and figures “for the purpose of clauses 13.1.1.1 and 13.1.1.2”, the words and figures “for the purpose of clause 13.1.1” shall be substituted; and

- (b) in Explanation (b), for the words and figures “for the purpose of clauses 13.1.1.1 and 13.1.1.2”, the words and figures “*for the purpose of clause 13.1.1*” shall be substituted.

26. In clause 13.1.2.1:-

- (a) in sub-clause (a), for the words and figures “Clause 13.1.1.1”, the words and figures “*clause 13.1.1*” shall be substituted; and
- (b) in sub-clause (b), for the words and figures “Clause 13.1.1.1”, the words and figures “*clause 13.1.1*” shall be substituted.

27. In clause 13.3.1:-

- (a) in sub-clause (a), after the words “clause 6.8.3.2 of these guidelines” and before the words “, shall be subject to lock-in” the following words shall be inserted, namely:-

“and the shares allotted to such promoter / promoter group pursuant to exercise of options attached to warrants issued on preferential basis”

- (b) in sub-clause (c), after the words “preferential basis to promoters/ promoter group” and before the words “as per clause 13.3.1 (a) and (b)”, the following words shall be inserted, namely:-

“and shares allotted to such promoters/ promoter group pursuant to exercise of options attached to warrants issued on preferential basis”

- (c) in sub-clause (d):-

- (i) the mark and words “/exercise of warrants,” appearing after the words “conversion of the convertible instrument” and before the words “shall be reduced”, shall be omitted; and

- (ii) the word “warrants”, appearing after the words “to the extent the convertible instrument” and before the words “have already been locked-in”, shall be omitted.

CHAPTER XIII-A

GUIDELINES FOR QUALIFIED INSTITUTIONS PLACEMENT

28. In clause 13A.1.1:-

- (a) after sub-clause (a), the following shall be inserted, namely:-

*“**Provided that** in case of a listed company, being the transferee company in a scheme of merger/ demerger/ amalgamation/ arrangement sanctioned by Court(s) under sections 391 to 394 of the Companies Act, 1956, the period for which the equity shares of the transferor company were listed on a stock exchange having nation wide trading terminals shall also be considered for the purpose of computation of the period of one year.”*

- (b) Explanation (i) shall be omitted; and
- (c) In Explanation (ii), after the words “nation wide trading terminals” and before the words “, shall be deemed”, the following shall be inserted, namely:-

“and satisfy the conditions laid down in Explanation to Rule 19(4) of the Securities Contracts (Regulation) Rules, 1957”

29. In clause 13A.3.1, along with its Explanation:-

(a) for clause 13A.3.1, the following shall be substituted, namely:-

“13A.3.1 An issue of specified securities made under this Chapter shall be made at a price not less than the average of the weekly high and low of the closing prices of the related shares quoted on the stock exchange during the two weeks preceding the relevant date.”

(b) For Explanation (a), the following shall be substituted, namely:-

“a) “relevant date” for the purpose of this clause means the date of the meeting in which the Board of the company or the Committee of Directors duly authorised by the Board of the company decides to open the proposed issue.”

(c) In Explanation (b), for the words “six months”, the words “two weeks” may be substituted.

30. In clause 13A.3.2.2, the words “a day thirty days prior to”, appearing after the words “clause 13A.3.1” and before the words “the date on which”, shall be omitted.

CHAPTER XVI

OPERATIONAL GUIDELINES

31. In clause 16.1.1, in sub-clause (a), for the words and figure “Rs. 20 crores”, the words and figure “Rs.50 crores” shall be substituted.